A Model Data Center Host Community Term Sheet

Companion to "A Model Negotiating Framework for Data Center Host Communities"

How to use this document

Before negotiating with any developer, publish your starting terms. Every applicant sees the same sheet. The question should not be "what incentive must we offer to land this project" but "what level of public value the community can reasonably secure while maintaining a competitive project." Where sites, grid capacity, or water are scarce and multiple developers are interested, invite competing offers *above* these minimums rather than negotiating bilaterally downward from zero.

No project-specific incentive agreement should be approved until the public can compare its terms against these benchmarks, side by side, for at least 30 days before any vote.

One principle runs through every term below: costs caused by the project are not community benefits. Impact mitigation (grid, roads, water, wastewater, fire and EMS, noise, environmental cleanup, decommissioning) merely keeps the public from losing money. It is non-negotiable and buys the developer nothing extra. Community value (taxes and PILOT revenue, recurring host payments, community investment, housing, schools, child care, workforce investment, residential energy relief) is what the public gains for the use of its scarce land, electricity, water, and infrastructure. A strong deal requires both.

The numbers below are drawn from some of the strongest publicly documented U.S. negotiated terms and executed agreements: DeForest, Wisconsin (the clearest published model of community protections, from the collapsed QTS negotiation); West Feliciana Parish, Louisiana (the strongest recurring public-revenue benchmark identified in publicly available U.S. agreements: a PILOT/lease structure through the parish Industrial Development Board projected to generate roughly $273,000 per MW of contracted utility demand per year in public revenue, not a separate payment on top of taxes); New York State's September 2026 Host Community Investment Framework (recommending at least $1 million in community investment per MW of utility demand, the first state-level per-MW benchmark; a

flexible upfront-or-lifetime investment target negotiated locally, not a recurring annual payment and not necessarily cash to the host community); and a 500 MW proposal in upstate New York (roughly 125 permanent jobs; 2026 public reporting places requested sales- and mortgage-tax exemptions above $1 billion, with a 30-year PILOT package of about $285 million, or roughly $9.5 million per year - the cautionary case for negotiating late).

Where this sheet gives per-MW figures, MW means maximum contracted utility demand (the capacity the utility must stand ready to serve), not IT or server capacity, unless stated otherwise.

Fiscal terms

1. Full taxation is the default. Any abatement or incentive (PILOT, tax increment financing, or your state's equivalent) must be justified in writing, with the present value of every exemption disclosed as a dollar figure per MW and benchmarked against a per-MW standard such as New York's $1 million framework.

2. A contractual tax floor. The agreement must guarantee a minimum assessed and taxable value for the full term, so depreciation, reassessment, or equipment turnover cannot quietly collapse the tax base. (DeForest model.)

3. Annual community-benefit payments, separate from taxes, indexed to scale. Payments must recur yearly, rise with inflation, and ratchet upward with metered MW demand if the facility expands. Keep three measures separate: (1) upfront or lifetime community investment, for which New York's framework recommends at least $1 million per MW of utility demand; (2) recurring annual tax or PILOT revenue, where West Feliciana Parish projects roughly $273,000 per MW of contracted utility demand per year through its PILOT/lease structure; (3) recurring community payments above and beyond taxes, a separate category. Do not compare a one-time per-MW investment figure with an annual per-MW revenue figure; they measure different things. The upstate New York proposal implies roughly $19,000 per MW per year in recurring value. These examples illustrate how widely deal economics can vary and why communities should establish benchmarks before project-specific negotiations begin. Every expansion of contracted MW must automatically reopen the economics: additional community investment, additional annual payments, water and sewer reassessment, grid-cost reassessment, increased decommissioning security, and fresh environmental and noise review.

4. No approval without public comparison. No project-specific incentive may be voted on until its full terms have been published alongside these benchmarks for at least 30 days.

Power

5. The developer pays 100% of incremental grid infrastructure. Substations, transmission upgrades, interconnection, and distribution work attributable to the project go in the development agreement, not the rate base.

6. Explicit ratepayer protection. The agreement must bar cost shifting to residential and small-business customers, with the utility's sign-off on the methodology. Several states now limit or bar such cost shifting; confirm your state's policy and write it into the agreement.

7. A minimum clean-energy share for project load. DeForest's term sheet required 45% of energy from renewable sources. Set a floor and prohibit new fossil peaker capacity billed to ratepayers.

Water

8. Water and wastewater costs assigned in writing. Supply, treatment, and discharge infrastructure costs belong to the project, negotiated with the local water utility and wastewater authority at the table.

9. Closed-loop cooling required where feasible, with a drought hierarchy. Before approval, the project states three numbers: the first-fill volume, the peak-day draw, and the annual average — and it reports actual daily draw from the public supply each month. Peak-day draw from the public supply must not exceed [X] gallons per day. Construction water and the first fill of the cooling systems come from a source other than the public supply, or are scheduled with the utility outside the peak season. When the utility declares a drought stage or asks residents to conserve, the campus first cuts its public-supply draw by [Y] percent or switches to an alternate source. The agreement must also cap maximum daily and annual water use, prohibit net draws from residential aquifers, and bar treated potable water for cooling above a defined large-user threshold. Specify a water-source hierarchy: reclaimed or non-potable water first, closed-loop systems second, potable water only where necessary; drought-stage restrictions that give residential and public-health supply absolute priority; and metered public reporting

of actual withdrawals. (West Feliciana model: closed-loop recycling, no aquifer impact.)

10. Developer-funded water system improvements transfer to the public. Where the project stresses local systems, the developer builds the upgrades and deeds them to the municipality at no taxpayer cost. (West Feliciana: $16 million in wells and mains serving 4,000+ households.)

Neighbors

11. Private-well guarantees. Repair, replacement, or municipal hookup for wells affected by construction or operation, within a defined setback zone. (DeForest: quarter-mile.)

12. Property-value protection. Buyout at no less than 110% of assessed value for homes materially and adversely affected by noise, vibration, or water impacts. (DeForest model.)

13. Enforceable noise and light limits. Continuous monitoring at the property line, with penalties, covering routine operations and backup generators; plus enforceable limits on nighttime light trespass and glare.

14. Housing and community earmarks. A defined share of community-benefit payments dedicated to affordable housing and host-community infrastructure. (DeForest model.)

Accountability

15. No NDAs on the public side. All term negotiations in public session; full agreements published before any vote. DeForest's deal died of secrecy; West Feliciana closed without an NDA and its parish president now pitches that as the model.

16. A public scorecard before any vote. The developer must disclose, in a standard format: 30-year taxes and exemptions, peak MW and who pays for grid upgrades, water use and cooling technology, construction and permanent jobs with wages, infrastructure demands, noise and emissions, a cumulative air-quality impact assessment, and the decommissioning plan. The locality publishes its independent estimate alongside the developer's, in the same format. No vote until both have been public for 30 days.

17. Hard milestones with automatic clawbacks. Capital investment, permanent FTEs, wage levels, construction milestones, and operating dates defined contractually, plus a minimum operating duration with exit fees if the facility closes early. Missed triggers automatically reduce abatements or require repayment.

18. A decommissioning bond posted up front. Security sized to full site restoration, including recycling or safe disposal of electronic waste, held for the life of the project.

19. One regional floor. County agencies and participating municipalities should adopt a common negotiating floor, and condition county-controlled infrastructure, financing, IDA participation, or other assistance on consistency with that framework, so municipalities are not played against one another for the same project.

20. Competition above the floor. Where developers compete for scarce sites, grid capacity, or water, solicit best-and-final community-benefit offers above these minimums.

Added October 2026

The terms below were added after a review of other publicly available community-side templates and guides (including the NAACP's community benefits template, New York State's Host Community Investment Framework, the Kentucky Resources Council model zoning ordinance, and WRI's siting guidelines). They close gaps those publications cover that the original twenty terms did not.

21. Labor standards. Prevailing wage and project-labor-agreement requirements for construction; local-hire targets and apprenticeship requirements for construction and permanent operations; wage floors and benefits for permanent jobs; payroll verification with reporting by ZIP code and residency; and local, minority- and women-owned, and veteran-owned procurement reporting.

22. Backup-generator emissions and testing limits. Full disclosure of generator count, capacity, fuel type, and fuel storage; caps on nitrogen-oxide and particulate emissions; limits on annual testing hours with defined testing windows; caps on emergency-operation hours; public reporting of actual operating hours; and a requirement to use the cleanest available backup technology. (Generators were previously covered for noise only.)

23. Construction and traffic management. Enforceable construction-management plans: a baseline road-condition study before work begins, designated truck routes, bridge weight limits, developer-funded repair of road deterioration and full restoration after construction, traffic controls, dust control, and limits on construction hours near residences.

24. Developer-funded independent review. The applicant must deposit funds into a community-controlled escrow account from which the community selects and pays its own utility/grid consultant, water/wastewater engineer, municipal-finance expert, environmental consultant, and specialized legal counsel. The developer must never be the source of the community's economic model; the town negotiates with its own experts, paid for by the applicant.

25. Grid-emergency curtailment and demand response. The utility's right to curtail project load during grid emergencies, defined in advance, plus required participation in demand-response, emergency load-reduction, and interruptible-service programs where technically appropriate. Residents should not face blackouts or reliability costs to keep servers running; Nevada's 2026 data-center framework bars shifting project costs onto other ratepayers.

26. Waste-heat reuse. Where feasible, the project must make waste heat available for district heating or other productive reuse rather than venting it.

27. Responsible siting. Preference for brownfields and previously developed sites over prime farmland and sensitive habitat, with setbacks from homes and water resources defined up front.

Added in a second October 2026 round

Terms 28-30 below, plus the strengthened terms 3, 9, and 21-25 and the corrected benchmarks above, follow an external review of the package against current public reporting.

28. Creditworthy guarantor and successor liability. Do not sign with a special-purpose project LLC alone. Require a parent-company guarantee or equivalent credit support; obligations binding on successors and assigns; community approval before any assignment or change of control; obligations surviving sale of the facility; and replacement security if the guarantor's credit deteriorates.

29. Take-or-pay and stranded-grid protection. A speculative large-load request can cause grid infrastructure to be built even if the project underperforms or disappears. Require minimum-load commitments, take-or-pay utility provisions, substantial deposits or security, milestone-based release of reserved capacity, and forfeiture when projects fail to proceed, so the developer bears stranded costs, not ratepayers.

30. Battery storage and fire/EMS costs. Data centers increasingly include battery energy storage and large uninterrupted power supply systems. Require disclosure of battery chemistry and capacity, a fire-hazard analysis, fire-department preplanning and training on site-specific hazards, developer-funded specialized equipment, emergency-response planning, and annual public-safety reimbursement. (New Jersey's 2026 municipal guidance specifically flags generators, fuel storage, battery systems, and UPS installations as unusual emergency-response hazards and urges municipalities to require developer funding of needed public-safety improvements.)